

Onshore, offshore, upstream, FID: a glossary for Namibian managers

WHERE THE WORK HAPPENS

Onshore	On land. In Namibia, mainly the Kavango basin in the north east, where exploration and testing continue.
Offshore	At sea. Namibia's significant discoveries sit in the deepwater Orange Basin, in up to 3,000 m of water.
Upstream	Finding and producing oil and gas: exploration, appraisal, development, production. The local content policy is an upstream policy.
Midstream / Downstream	Midstream moves and stores it: pipelines, shipping, terminals. Downstream refines, distributes and retails fuel.

LICENCES AND PLAYERS

Block	A defined area, on land or at sea, mapped by the Minister. Licences are granted over blocks, hence names like Block 2913B.
PEL	Petroleum exploration licence. PEL 39, 73, 83 and 85 are the licences behind most Namibian headlines.
Licence types	Reconnaissance (2 years), exploration (4 years, renewable) and production (up to 25 years), under the Petroleum Act 2 of 1991.
Operator	The joint venture company that runs day to day operations and lets the contracts. If you want to supply a block, the operator is who you sell to.
Partner	A non-operating holder of a percentage interest. Pays its share of costs, takes its share of production, does not run the work.
NAMCOR	The national petroleum company, typically holding around ten percent as a partner rather than the operator.

THE MILESTONES

Exploration well	Drilled to find out whether there is petroleum at all.
Appraisal well	Drilled after a discovery to establish size and flow. Namibia has been in an appraisal phase for several years.
Well test / flow test	Measures what a well produces, quoted in barrels per day. A strong indicator of whether a discovery is developable.
FID	Final investment decision: the moment the partners commit the capital. Hiring and procurement start in volume after FID, not after a discovery. Anchor workforce plans to FID.

THE HARDWARE AND THE NUMBERS

FPSO	Floating production, storage and offloading vessel, moored above a deepwater field. Creates rotational offshore work and marine logistics activity through the ports.
Subsea tie back	Wells on the seabed connected by pipework to the floating facility rather than a fixed platform.
bbl and bbl/d	Barrel, the standard unit for oil, and barrels per day, a production rate.
mmbœ / mmscf/d	Million barrels of oil equivalent (oil and gas together) and million standard cubic feet of gas per day.
Recoverable resources	The amount thought to be producible, always less than what is in the ground.

THE WORKFORCE TERMS

Local content	The added value to the Namibian economy through the use of Namibian labour, goods and services, companies, ownership and financing in the upstream sector.
Namibianisation	The progressive replacement of expatriate staff with Namibians through training and succession. Its nearest legal foundation is the understudy requirement in the Affirmative Action Act.